

Multiple Choice (10 marks)

1. The aggregate demand curve has a negative slope in part because when the price level increases
 - (a) the real quantity of money increases
 - (b) imports become relatively more expensive
 - (c) the value of cash increases
 - (d) exports become relatively cheaper
 - (e) inflation rate decreases
2. The characteristic roots of the MA process $y_t = -3u_{t-1} + u_{t-2} + u_t$ are
 - (a) 1 and 0.5
 - (b) 2 and 0.5
 - (c) -1 and -0.5
 - (d) -1 and 2
 - (e) 3 and -2
3. What school of economists defended Say's Law? Which pro-minent economist disputed this theory?
 - (a) Chicago school, Stiglitz
 - (b) Marxist school, Minsky
 - (c) Behavioral school, Akerlof
 - (d) Neoclassical school, Friedman
 - (e) Neoclassical school, Coase
4. An increase in the price level and a decrease in real GDP in the short run could be the result of
 - (a) a decrease in the money supply.
 - (b) an increase in consumer confidence.
 - (c) a sudden surge in technological innovation.
 - (d) a prolonged period of very bad weather.
 - (e) a decrease in consumer confidence.
5. If a series, y , follows a random walk, what is the optimal one-step ahead forecast of y ?
 - (a) The current value of y

- (b) The median value of y over the in-sample period
- (c) The minimum value of y over the in-sample period
- (d) The value of y two periods back
- (e) One

True / False (10 marks)

Answer True or False

6. True or False: A tax cut of 10 billion, with a marginal propensity to consume of 0.85, increases savings by 1.75 billion.
7. True or False: The levels of incomes in foreign nations significantly influence the volume of a nation's exports and imports.
8. True or False: The cabbages grown in a summer garden are not counted in GDP as they are not sold in the market.
9. True or False: Sales promotions in retail typically suggest a non-competitive market with strict price collusion among firms.
10. True or False: A leftward shift in the aggregate demand curve leads to a decrease in both inflation and unemployment, contrary to the Phillips curve's implications.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Given the prices of labor and capital and their respective marginal products, analyze the firm's optimal adjustment strategy for resource allocation. What actions should the firm take and why?
12. Discuss the factors that can shift the aggregate supply curve and analyze why an increase in the price level does not contribute to such a shift.

End of Paper